

04 ESG Review

As it moves into a new era of growth, Savola continues to embed responsible practices across its value chain, advancing resilience, supporting national priorities and creating long-term value for all stakeholders.

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Fostering community wellness and employee welfare

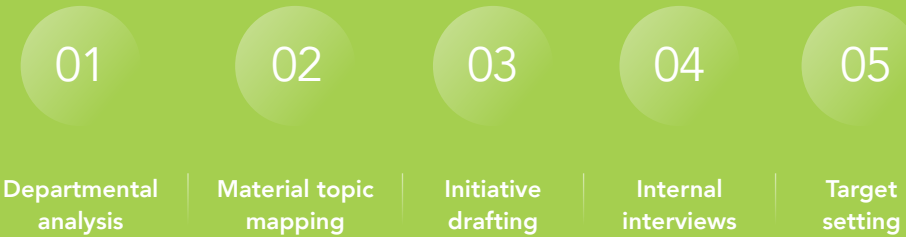
Our ESG Approach

Savola Group actively aligns its ESG integration approach with leading international sustainability standards, including the Paris Agreement and UN SDGs.

The Group also considers the local sustainability context by aligning its goals to contribute to the Saudi Vision 2030 and the Net Zero 2060 targets. Our strategy development follows a structured approach, benchmarking best practices, assessing ESG maturity, and conducting materiality evaluations to define key priorities.

In parallel, we prioritize clear and transparent communication with our stakeholders by following global and local disclosure standards making sure we cater to their disclosure needs while we maintain full compliance with regulatory requirements. In line with our investor expectations, we embed ESG into our financial processes to proactively manage risks and opportunities.

Savola Group's sustainability roadmap has 5 distinct phases



This active approach ensures strategic ESG alignment and long-term sustainability impact.



Our ESG Strategy

Savola Group's ESG framework and strategy are built on strategic pillars and core focus areas that drive our ESG ambitions. These pillars define the Group's commitment to sustainable growth, ensuring responsible practices across all operations, as depicted in the following infographic.

Savola Group's ESG Framework | Our ESG Vision | Spearheading sustainable growth and empowering responsible practices across our ecosystem



Drivers

- Alignment with international standards and agreements
- Adherence to national agendas and vision
- Engagement with external stakeholders
- Maintaining portfolio attractiveness for ESG-aligned investors
- Alignment with international ESG frameworks
- Avoiding implications of reputational risks



Fostering community wellness and employee welfare

Materiality Assessment

Since the early stages of its sustainability integration journey, Savola Group has anchored its approach in robust materiality assessments. The Group adopts a structured, forward-looking methodology to define its ESG priorities aligned with international standards and frameworks, as well as national ambitions such as Saudi Vision 2030 and the UNSDGs, while maintaining best-in-market practices through continuous peer benchmarking.

For Savola Group, materiality assessment goes beyond ESG disclosure and compliance. It serves as a strategic tool to identify impact hotspots, prioritize areas for action, and clearly communicate where the Group’s key priorities lie through a well-defined materiality matrix.

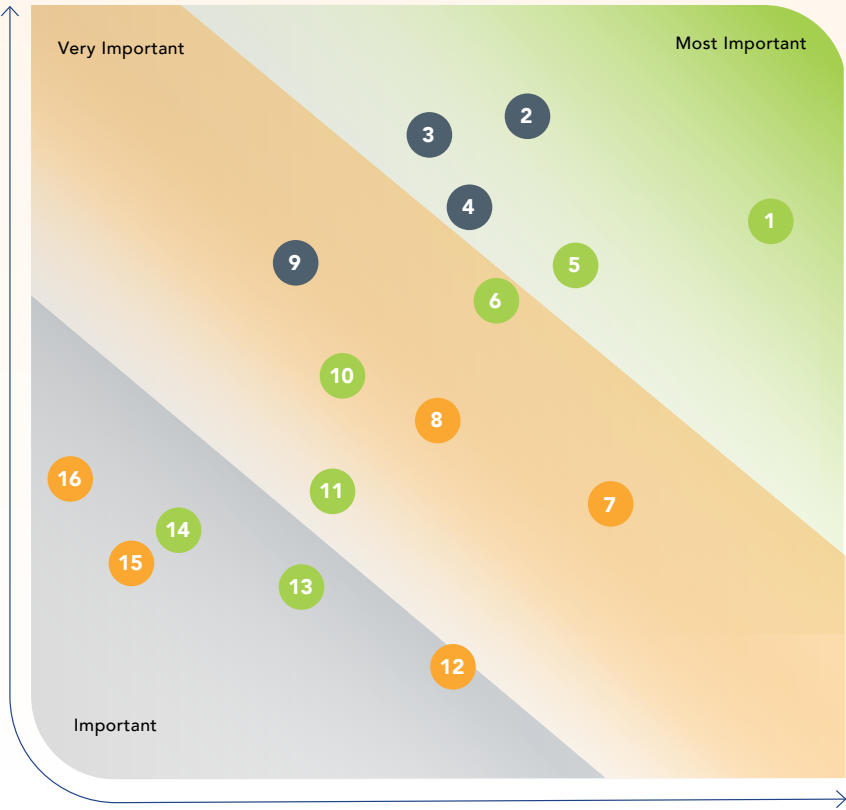
Over time, Savola Group’s approach to materiality has evolved in line with market developments and emerging standards. The Group has therefore adopted a double materiality approach, ensuring a comprehensive and balanced evaluation of its sustainability topics. This process incorporates the perspectives of both internal and external stakeholders, focusing on the financial impact of risks and opportunities, and the Group’s operational impact on the environment and society, which strengthens the relevance and robustness of the assessment.

In light of recent organizational changes, Savola Group is currently in the process of finalizing the update of its double materiality assessment to reflect its new structure and operating model. The outcomes of this exercise will be presented in the Group’s 2025 ESG Report.



Materiality Matrix

The materiality assessment produced a matrix that prioritizes key sustainability topics, serving as a valuable tool for risk management and opportunity identification.



- Most Important**
- 1 Food quality and safety
- 2 Clean and efficient energy
- 3 Climate change and emissions
- 4 Waste and circular economy
- 5 Health, wellness and quality of life
- 6 Human capital retention, engagement and development

- Very important**
- 7 Transparency and reporting
- 8 Corporate governance
- 9 Sustainable packaging
- 10 Nationalization
- 11 Community impact and investment

- Important**
- 12 Business ethics and integrity
- 13 Diversity, equity and inclusion
- 14 Nutrition and health
- 15 Customer experience and relationship
- 16 Responsible investment

● Environmental ● Social ● Governance



Fostering community wellness and employee welfare

Driving Environmental Stewardship and Innovation

Operating across MENAT markets shaped by climate pressures, water constraints and evolving regulations, Savola Group (Savola HQ, Savola Foods, and Panda) integrates environmental stewardship into its strategy in line with national net-zero ambitions. The Group focuses on improving energy efficiency, reducing emissions and minimizing waste across manufacturing and retail operations, while advancing responsible water management and sustainable packaging solutions to support long-term, resilient growth.

Savola Group has submitted a request to SBTi to join the initiative and set a GHG emissions reduction target.



Climate Change and Emissions

Savola Group recognizes climate change as a global priority and actively manages our emissions in line with national and international goals. Across the portfolio, the Group is strengthening emissions measurement and disclosure, with both Panda Retail Company and Savola Foods Company reporting Scope 1 and Scope 2 greenhouse gas emissions to enhance transparency, support accountability and guide ongoing emissions reduction efforts.

2025 Progress and Achievements

Savola Group continuously advances its environmental agenda through a set of initiatives applied across its subsidiaries. In 2025, Product Supply accelerated Savola Foods Company (SFC) decarbonization agenda through targeted operational efficiency and energy management initiatives, achieving an 16.3% reduction in greenhouse gas emissions per metric ton compared to 2024. This progress was supported by process optimization across refineries and manufacturing sites, improved asset reliability, and energy efficiency projects that reduced fuel and electricity intensity across operations.

These actions translated into a meaningful reduction in overall emissions. SFC's combined Scope 1 and Scope 2 greenhouse gas emissions declined to 632,108.48 tons of CO₂e in 2025, compared with 755,177.69 tons of CO₂e in 2024 and 914,233.90 tons of CO₂e in 2019. This represents a 16.3% reduction year on year and a 30.9% reduction compared with the 2019 baseline, reflecting sustained progress in lowering the Group's carbon footprint while improving operational efficiency.

SFC continues to strengthen emissions performance through more efficient and responsible operations, while Panda Retail Company is also improving its environmental performance through ongoing energy optimization and enhanced environmental management across its stores and facilities. For further details on Scope 1 and Scope 2 performance across Savola Group and its operating units, please refer to the 2025 ESG Report available on the Group's website.

Clean and Efficient Energy

Savola Group continues to strengthen its approach to sustainable energy management by embedding efficiency-driven practices across retail and manufacturing operations. Energy optimization, water efficiency improvements, and enhanced process performance are directly reducing resource consumption and lowering emissions across sites. By systematically improving how energy and utilities are used, we deliver measurable environmental outcomes while advancing the Group's transition toward more sustainable operations.

Across the portfolio, operating companies monitor electricity consumption to assess performance, identify opportunities for optimization and guide continuous improvement. This approach enables the Group to track trends over time while supporting informed decision-making and long-term energy efficiency goals.

2025 Progress and Achievements

As part of the Group's plan, SFC delivered significant energy-related cost and efficiency improvements despite higher fuel prices across Arabia and Egypt, achieving net savings of ₪ 104 million versus budget and ₪ 11 million versus 2024. These outcomes were supported by targeted energy efficiency initiatives, optimization of utilities consumption, logistics improvements, and procurement discipline, reinforcing the link between operational excellence, environmental performance and cost resilience.

Panda Retail continued to advance cleaner and more efficient energy use across its logistics and infrastructure. A backhauling collaboration with Unilever optimized return transport routes, eliminating the need for separate delivery trips and reducing fuel consumption and associated emissions. Circular resource management also progressed, with 15,800 vehicle batteries diverted for recycling in 2025, up from 13,400 in the prior year, supporting responsible material recovery and reduced environmental impact.

Energy efficiency across facilities was further strengthened through the full transition to LED lighting at distribution centers, significantly lowering electricity demand. Panda's distribution center in King Abdullah Economic City achieved LEED Silver certification, reflecting high standards in sustainable design and operational efficiency, while rooftop solar installation is contributing to cleaner on-site energy generation. Collectively, these initiatives are reducing energy intensity, improving operational performance, and strengthening Panda's environmental footprint.

By integrating efficiency considerations into facility management, fleet operations and operational planning, the Group aims to gradually reduce energy demand while supporting long-term operational resilience and embedding energy efficiency into day-to-day operations across our Head Office and operating companies. Further details on energy, electricity and fuel consumption are available in the 2025 ESG Report on our website.



Fostering community wellness and employee welfare

Driving Environmental Stewardship and Innovation (continued)

Waste and Circular Economy

Savola Group embeds waste management and circular economy principles into our ESG strategy by focusing on waste reduction, resource efficiency and responsible disposal across our operations. Efforts to minimize food and packaging waste, supported by recycling initiatives and more sustainable packaging solutions, help reduce landfill reliance and improve overall efficiency.

Waste generated from offices, retail operations and food manufacturing remains a key focus area. As part of their commitment to circular economy principles, Panda Retail Company tracks waste generation and recovery to support continuous improvement, while Savola Foods Company repurposes production by-products into valuable co-products, reinforcing the Group’s commitment to circular and sustainable practices.

2025 Progress and Achievements

During 2025, Product Supply strengthened waste reduction and resource efficiency practices across manufacturing operations through tighter process controls, improved material handling, and disciplined production planning. Material losses declined to 2.25% compared to 2.48% in 2024 and 2.44% in the business plan, reflecting stronger waste prevention and yield optimization. These improvements contributed to lower disposal volumes, higher recovery of usable by-products, and greater alignment with circular economy principles across refineries and packaging facilities.

In 2025, the Group along with our operating companies and their operating units prioritized waste reduction, focusing specifically on improving diversion and promoting the reuse of materials across operations. These efforts supported a shift toward more circular practices, particularly within manufacturing and retail activities, while helping minimize reliance on landfill disposal. Additional information on waste management initiatives and performance across Savola Group and our operating units is available in the 2025 ESG Report on our website.



Panda’s stock loss decreased to **0.29%** in 2025, compared to **0.59%** in 2024.



Water

Water stewardship is embedded within Savola Group’s ESG strategy, with a focus on efficient use, conservation and responsible management across the value chain. Across the portfolio, operating companies monitor and disclose water consumption and discharge to assess efficiency and guide conservation initiatives. By integrating sustainable water practices into food production and operations, the Group supports long-term environmental resilience and aligns our efforts with Saudi Vision 2030 and global sustainability standards.

2025 Progress and Achievements

The more efficient use of water resources and improved monitoring of withdrawals and discharges across facilities remained a key priority in 2025, supported by continuous improvement efforts across Savola Group and its operating companies. Within this framework, SFC recognizes water stress as a material operational and supply chain risk given its presence in water-stressed geographies, with potential implications for production continuity, input costs, and long-term asset resilience. As a result, water stewardship is embedded within SFC’s operational governance and business planning processes, with performance oversight integrated into management review cycles.

Water management is coordinated by SFC’s dedicated Sustainability Team, which oversees risk assessment, target setting, performance monitoring, and internal reporting, working closely with operations, engineering and supply chain teams to ensure consistent implementation across sites. Governance is supported through a structured Water Management Steering Committee framework with clear executive oversight and operational accountability. Overall responsibility rests with the Chief Product Supply Officer, while General Managers oversee operational compliance, the SFC Center of Excellence provides technical support, and Operating Unit Heads execute approved measures at site level. Consolidated performance and risks are reviewed periodically by senior management to enable timely decision-making and continuous improvement.

Fostering community wellness and employee welfare

Driving Environmental Stewardship and Innovation (continued)

Recognizing the heightened exposure of certain facilities to water stress, SFC invested ₪ 12.35 million in wastewater treatment upgrades and water reuse infrastructure across selected operating units, strengthening efficiency, compliance and risk mitigation. In parallel, the Group expanded the use of alternative and non-potable water sources where operationally feasible, including industrial treated water, recycled condensate, gray water and seawater for utility, cleaning and other non-process applications. The contribution of these sources is monitored at site level and consolidated centrally, supporting reduced reliance on freshwater while maintaining operational safety and product quality.

In 2025, SFC operated with a diversified water sourcing profile that reflects this strategic shift toward lower-stress inputs. Municipal supply accounted for 32% of total withdrawals, while river water represented 22%, seawater 21%, groundwater 12%, recycled condensate 10%, and industrial treated water 3%. This balanced mix demonstrates progress in strengthening water resilience and reducing dependency on high-stress freshwater sources, reinforcing responsible resource management across operations.

For more details on the Group and its operating units' performance on water management, please refer to our ESG 2025 report.



Savola Group is currently conducting a detailed water stress assessment which will be disclosed in the 2025 ESG report.

Sustainable Packaging

Savola Group prioritizes sustainable packaging by integrating environmentally responsible materials, improving efficiency and reducing waste across our operations, in alignment with the Kingdom's requirements. Ongoing efforts focus on supporting food safety, minimizing environmental impact and encouraging innovation in packaging solutions.

As part of its circular economy approach, Panda Retail Company monitors packaging materials collected for recycling, supporting ongoing efforts to divert waste from landfill and promote resource recovery across its operations.

2025 Progress and Achievements

Ongoing research and operational initiatives across the Group continue to strengthen both product health profiles and environmental performance. Panda Retail Company's operations remain central to advancing packaging recovery and recycling practices. Panda Retail initiated sustainability-driven improvements across its supplies and packaging portfolio. Key actions included reducing plastic usage in bakery packaging by using kraft boxes and transitioning from sticker labeling to printed packaging to minimize material consumption. In parallel, it is developing deli packaging with an enhanced locking system to reduce reliance on cling film.

SFC is simultaneously progressing product reformulation and nutrition-focused innovation across key markets, reinforcing the Group's commitment to supporting healthier consumption choices.

SFC has commercialized and scaled a range of reformulated and fortified products designed to enhance nutritional value while maintaining product quality and consumer appeal. These include Fitness Sugar, offering the same sweetness with significantly reduced sugar content, blended cooking oils

combining multiple oil types to deliver omega benefits for heart and brain health, and oils fortified with essential nutrients such as Vitamins A and D, zinc, and turmeric. Natural antioxidant solutions, including green tea extract, support clean-label positioning, while high-protein, high-fiber and lower-carbohydrate pasta products expand healthier staple options. These innovations reflect a structured approach to improving nutritional outcomes across core categories.

In parallel, the company continued to improve packaging operations and optimize packaging material inventories, while introducing new packaging formats and pouch solutions to better meet evolving consumer needs.

Packaging recovery efforts expanded during 2025, increasing the volume of materials collected and sent for recycling across operations. Packaging recovery results and related initiatives across Savola Group and its operating units are outlined in the 2025 Sustainability Report available on our website.



Looking Ahead

Savola Group and our subsidiaries are advancing a comprehensive sustainability agenda focused on clean energy, resource efficiency and circular economy practices. The Group is conducting energy audits in line with American Society of Heating, Refrigerating and Air-Conditioning Engineers (ASHRAE) standards, piloting efficiency upgrades and preparing for the installation of photovoltaic solar panels, while integrating climate considerations into investment decisions and ESG data systems.

Panda Retail is leading clean energy adoption across offices, stores and distribution centers following its 2024 KAEC solar milestone, and will begin consolidating fleet fuel data to enhance emissions transparency, alongside strengthening waste tracking, circular packaging initiatives and consumer awareness campaigns. In parallel, SFC and its entities will pursue innovative, lower-impact packaging solutions and waste-reduction models across operations.



Fostering community wellness and employee welfare

Our People

Human Capital Retention, Engagement and Development

Our People Powering Performance and Long-Term Value

Our people remain a central pillar of Savola Group’s long-term value creation, enabling execution, resilience, and transformation across the business. During 2025, we continued to strengthen our workforce foundations by aligning culture, capability, leadership and engagement with the Group’s strategic direction, while reinforcing inclusion, national talent development and performance-driven behaviors. This integrated approach ensures that our organization is equipped not only to deliver today’s priorities, but also to sustain growth, adaptability and excellence over the long term.

Empowering our People, Strengthening our Culture

Our strategic focus continued to place our people and culture at the heart of our transformation, with specific prioritization on engagement, capability building, inclusion and leadership development. We promoted a vibrant and supportive workplace through a broad range of employee development, engagement and well-being initiatives that supported both personal and professional growth. We also marked key cultural and global milestones, reinforcing inclusivity and community across the organization. Alongside these efforts, women empowerment workshops and external collaborations reflected our ongoing commitment to advancing female participation and leadership.

Our culture agenda gained further momentum through the rollout of new culture initiatives across Savola HQ and Operating Units, achieving an 80% culture activities completion rate during the year. A key enabler was the Coffee Time with HR initiative, a series of quarterly awareness sessions designed to strengthen understanding of core HR practices, including the Development Needs Analysis process, promotion policy and the Forward Culture Framework. These initiatives helped embed consistent behaviors, improve transparency, and strengthen alignment with our values.

Capability building and talent development remained central to our people strategy. We delivered corporate training programs covering Procurement, Internal Audit, Marketing and B2B Sales, strengthening functional expertise across the Group. Leadership development was further advanced through our partnership with INSEAD, delivering the “Leading in the Eye of the Storm” program to 45 leaders across the Group. In parallel, we continued to support female employees through our Women Empowerment Program, tailored to different career stages and launched the Accelerate 2.0 Program to develop middle management capabilities among identified talents. These initiatives deepened leadership capacity, strengthened succession readiness and reinforced our long-term investment in our people.



The Group’s Retention rate in KSA

97%

Our Workforce by the Numbers

Savola Group’s workforce composition across corporate functions and subsidiaries reflects a diverse workforce of 42 nationalities, strong national talent representation, and a culture of engagement supported by extensive employee development and wellbeing activities throughout the year. In Saudi Arabia, the Group’s full-time employees reached 15,085 at year end, including 1,490 female employees, with an average tenure of eight years, underscoring stability, experience, and long-term commitment.

Group’s full-time employees reached **15,085** at year end including **1,490** female employees



Entity	Total Employees in KSA	Total Saudi Employees	Female Saudi Employees	Employed People with Disabilities
Savola HQ	123	76	31	2
Savola Foods Company	1,213	563	51	9
Panda	13,357	4,301	1,196	224
Al Kabeer	392	168	92	4

Note: For this section, references to “Savola” include Savola Group’s Headquarters and our Saudi Arabia Operating Units. All workforce data, metrics and figures presented reflect the combined performance and composition of Savola HQ and the Group’s operating units in the Kingdom

The Executive Management Team (Moazara) across the Group and its subsidiaries, both within the Kingdom and internationally, during the Annual Meeting



Fostering community wellness and employee welfare

Our People continued

Clarifying Expectations through Updated Competencies

In 2025, we updated our Competencies Framework to clearly define the behaviors expected across the organization. The framework was structured across three levels to reflect differentiated responsibilities and impact.

At the Executive and Business Leadership Team level, the focus is on Strategic Mindset, Digital Savvy, Resilience and Adaptability, Leadership Excellence, Change Advocacy, and Innovation and Continuous Improvement.

At the Manager level, competencies emphasize Collaboration and Influencing, People Management, Accountability and Ownership, Business Insight, Technology Utilization and Operational Efficiency.

At the Staff level, expectations are centered on Customer First, Workplace Adaptability and Effective Teamwork.

In parallel, we updated and launched the functional competencies during the 2025 performance cycle across HR, Procurement, Internal Audit, Information Technology, Savola World, Investment, Legal, Shareholder and Board Affairs, Strategic Sourcing and Supply, Strategic Marketing Services and Product Supply. These updates strengthened role clarity, capability development, and performance alignment across critical functions.

Our Desired Culture Framework

Our Desired Culture Framework is built around six pillars that define how we work and lead. It brings together a shared sense of purpose, courage and agility with a strong focus on accountability, value creation and collaboration.

These behaviors are anchored in ethical conduct and leading by example, ensuring that decisions and actions across the organization consistently reflect Savola's values while supporting performance, sustainability and long-term impact.

					
Engaged with Strong Sense of Purpose	Empowered by Courage and Agility	Driven by Tangible Results	Fueled by Value Creation	Bonded by Trust and Collaboration	Guided by SFC Values*
• Clarity in direction and objectives • Open dialogue and aligned behaviors • Living values • Taking extra miles • Making a difference	• Proactive mindset • Challenging the status quo • Risk taking • Fast and flexible • Continuous improvement	• Achieving goals and tasks on time • Accountability • Admitting mistakes • Learning from experience • Focus on overall Group results and desired destination	• Creating value for internal and external customers • Process-driven organization • Profitable and sustainable organization	• Talent development and professional growth • Expressing opinions courageously • Sharing information • Listening and resolving conflicts	• Passion and belief in Group values • Self-discipline • Exhibiting high moral standards • Walking the talk *(Corporate values, individual values, Group values)

Embedding Culture through Action In 2025

Culture activation in 2025 was structured, measured and tracked. Across Savola HQ and Operating Units, we achieved an 80% completion rate of Desired Culture Framework activities, reflecting consistent execution and engagement.

A broad range of initiatives supported this progress. These included Lunch with the GMs sessions to encourage open dialogue, Coffee Time with HR to build awareness of career models and HR practices, and monthly Body, Mind and Soul activities to support well-being. Business performance updates were delivered regularly through town halls, meetings and digital channels to strengthen transparency and alignment.

We reinforced collaboration and learning through Culture Champions meetings, quarterly webinars covering topics such as team empowerment, burnout prevention, stakeholder relationships and constructive feedback, and the launch of the HR Magazine to share updates and success stories across operating units.

Capability-building programs further reinforced cultural priorities. These included the Product Supply Technical Mastery Program delivered through Oracle Fusion, leadership development for the Business Leadership Team, four corporate functional colleges and structured talent development programs supported by Individual Development Plans and succession planning tools.

Ethics and values remained a constant focus through annual declaration refreshers, reinforcement of reward and recognition policies, and the deployment of Culture Stars across Product Supply and non-Product Supply functions. Cross-functional projects and initiatives were actively encouraged to strengthen collaboration and shared ownership across the organization.



Living our Values in Action

In 2025, our values continued to guide how we lead, decide and work across the Group. They are embedded in daily behaviors and serve as a practical framework for integrity, accountability, and respect in every interaction. By grounding our culture in clear principles, we ensured consistency between intent and execution as the organization evolved.

Our corporate values – **Amanah** (honesty), **Taqwa** (conscientiousness), **Birr** (caring justice) and **Mujahadah** (personal control) – define our ethical foundation and shape how we manage investments, build stakeholder confidence and uphold our responsibilities.

Our individual values – **Tawado** (confident humility), **Iq'tida** (apprenticeship), **Azm** (fierce resolve) and **It'qan** (pursuit of perfection) – guide personal conduct and reinforce accountability, continuous improvement and high performance.

Our team values – **Ihsan Al-Dhan** (trusting), **Qabool** (acceptance), **Iq'bal** (approaching) and **Mu'Azarah** (caring) – strengthen collaboration, foster belonging and cultivate a unified culture built on trust and teamwork.

We embedded our values through visible leadership behaviors, targeted training and recognition systems that reinforce desired actions. Values were integrated into performance frameworks, communications, and decision-making processes, while individual and team behaviors such as humility, trust and collaboration were actively encouraged.

Completion rate of Desired Culture Framework activities

80%



Fostering community wellness and employee welfare

Our People continued



Building Capability for Performance and the Future

Learning and development remained a critical enabler of our strategy in 2025, supporting capability building, leadership depth and operational excellence across the Group. Our focus was on delivering practical, role-relevant learning that strengthens functional expertise, develops leaders at every level and equips our people with the skills required to operate in an increasingly digital, data-driven and complex environment.

Strengthening Functional and Technical Expertise
Savola continued to invest in capability building across both functional and operational domains, with a clear focus on improving execution quality, safety and technical depth. Targeted functional training programs strengthened specialist skills in priority areas, while structured technical development initiatives reinforced operational excellence across Product Supply.

Within corporate functions, Procurement Training was delivered to 12 participants, building analytical capability across procurement analysis, KPI design, reporting and performance optimization. The program equipped participants to apply structured analytical tools, generate clear and actionable reports, and recommend initiatives that enhance procurement effectiveness and value delivery.

In parallel, technical capability development within Product Supply advanced through the PS Technical Mastery Program, a 4-year initiative delivered virtually via the Oracle Fusion Learning Management System. During 2025, the program focused on Health, Safety and Environment, reaching an average of 600 Product Supply employees across operations. Six HS&E learning modules were launched during the year, achieving an

88% successful completion rate, reflecting strong engagement and a reinforced commitment to safety and disciplined operations. The next phase of the PS Technical Mastery roadmap will expand the program from 2026 onward to cover combined technical skills across quality, maintenance, utilities, SME disciplines and specialized capabilities in oils, fats, sugar, pasta, nuts and spices, further strengthening technical depth across the manufacturing network.

Developing Leaders and Future Managers
Leadership and management development advanced through structured programs designed to build resilience, effectiveness and confidence. The Accelerate 2.0 Program engaged 41 managers, focusing on core managerial competencies aligned with Savola standards and functional career models. Key areas included mastering feedback, planning and alignment, running effective meetings, presenting with confidence, interview etiquette and digital agility. The program highlighted team strengths and identified development areas to be addressed in future initiatives.

Senior leadership capability was further strengthened through the “Leading in the Eye of the Storm” program, delivered in partnership with INSEAD to 45 leaders from headquarters and operating units. The program focused on navigating complexity under pressure, building resilience, emotional intelligence, influence, decision-making and high-performance teams. Participants reported improved leadership resilience, stronger decision-making under pressure and enhanced ability to build and lead high-performing teams.

Digital Skills and AI Adoption
Digital capability building accelerated in 2025 as Savola HQ and Operating Units expanded the use of artificial intelligence across multiple corporate functions, moving beyond awareness toward practical, responsible application. Learning initiatives were designed to equip teams with the skills needed to embed AI into daily workflows while maintaining strong governance, ethical standards and business relevance.

Function	AI Training delivered
Marketing	The Generative AI for Marketing Professionals masterclass was delivered to 24 participants through a one-day, hands-on format, focusing on AI adoption and practical application across content, research and storytelling. Participants gained practical proficiency in more than 10 AI tools, enabling faster execution, higher-quality output while reinforcing originality guardrails.
Human Resources	An “AI for HR Professionals” workshop engaged 35 participants across organizational units, building foundational knowledge of regenerative AI and its ethical considerations in HR. The workshop also focused on practical skills in prompt engineering, evaluating AI outputs and AI application across HR processes.
Internal Audit	A dedicated AI training program was delivered to five Internal Audit Managers, focusing on the strategic and practical implications of AI in auditing. The program explored the use of AI for risk-based auditing and fraud detection, and concluded with the development of an actionable roadmap for integrating AI into audit activities.
Finance	The “Unsing Microsoft Copilot for Finance” session was delivered to 15 professionals from finance teams. The session introduced AI-driven automation across financial operations, explored integration use cases across M365, ERP systems and snowflakes, and provided hands-on experience in building query agents.

Collectively, these initiatives reflect Savola’s deliberate approach to AI adoption: building practical capability across functions, embedding responsible use, and positioning AI as a productivity and decision-support enabler rather than a standalone technology experiment.

Learning Scale, Systems and Performance Enablement
Learning delivery at scale was supported by a strong digital infrastructure. During 2025, we leveraged Oracle Fusion Learning Management System, Copilot and Fliki to support structured learning, productivity, and content development across the headquarters and operating units.

Overall learning activity during the year included 1,091 trained employees, 1,724 classroom training days and 2,867 virtual training hours, reflecting both scale and diversity of learning delivery.

Performance enablement was further strengthened through enhancements to the Performance Excellence System (PES). In 2025, the system was significantly upgraded compared to the prior year, supported by the Business Application Team. AI capabilities were integrated for the first time, marking a step change in functionality, while the interface and design were elevated to provide a more intuitive, user-friendly experience with simplified navigation.



Savola Foods Company was recognized at the SHRM MENA STAR Awards, receiving the Performance and Total Rewards Award from the Society for Human Resource Management, a testament to our strategic approach to talent management.



Fostering community wellness and employee welfare

Our People continued

Health, wellness and quality of life

Fostering Engagement, well-being and Connection

Employee engagement and wellbeing remained a core priority in 2025 as we focused on creating a supportive, inclusive and high-performing workplace. Rather than introducing new diagnostics, our emphasis during the year was on execution, translating insights into action, strengthening leadership communication and embedding well-being initiatives that support both personal and professional sustainability.

Leadership Communication and Alignment

Leadership visibility and open communication were reinforced through structured engagement forums. During the year, we held 3 CEO town halls in Saudi Arabia. These sessions provided employees with a comprehensive view of Savola's strategic journey and future direction, including reflections on the previous strategy cycle, priorities for the next phase and readiness to address future challenges. The town halls also covered key organizational changes and mergers, their strategic rationale and the alignment of the organizational structure with long-term objectives. The presentation of 2025 KPIs supported clarity, alignment and shared accountability across the organization.

Well-being at Work

We continued to prioritize employee well-being through a broad set of health, mental wellness and awareness initiatives. These included Office Yoga and Inner Light Moments, alongside targeted health campaigns such as Mental Health Day, Breast Cancer Awareness, World Diabetes Day, Men's Health Day, Flu Fighter and the Health Lounge. Social responsibility and inclusivity were reinforced through activities marking People with Disabilities Day, International Volunteer Day, World Soil Day and Giving Day, strengthening awareness and care across the workplace. Work-life balance was further supported through the deployment of flexible working hours for all employees. In addition, the Body, Mind and Soul program delivered 19 initiatives during the year, designed to support balance and well-being through a cost-effective and accessible approach.

Recognition and Appreciation

Recognition remained a cornerstone of our people strategy in 2025. We continued to celebrate excellence through a structured recognition framework that acknowledges individual and team contributions across both Product Supply and non-Product Supply functions. Awards included Star of the Month, Star Team, Star Manager, Appreciation Cards, Culture Stars and technical mastery recognitions. Based on year, our recognitions approach were designed to reinforce our values, highlight performance and innovation, and motivate continuous improvement. Award recipients were acknowledged through certificates, public recognition and meaningful rewards, ensuring that exceptional contributions are visible and valued.

Diversity, equity and inclusion

Advancing Diversity, Inclusion and Opportunity across the Group

Diversity, equity and inclusion are integral to how we build capability, strengthen leadership and create a workplace where people can contribute and grow on merit. In 2025, we continued to embed inclusive practices across talent development, leadership pipelines and workplace policies, with a clear focus on gender diversity, accessibility and equal opportunity.

Strength in Workforce Diversity

Our workforce reflects increasing diversity across businesses and functions. In Saudi Arabia, female representation continues to strengthen in leadership pipelines, with approximately 65% of female employees in Saudi Arabia holding managerial roles.

Across the Group, female participation varies by business and function, reflecting differences in operational models and labor market dynamics. At HQ, female employees represent 28% of the workforce, while representation across operating units and Panda reflects the scale and nature of each business. These metrics provide a baseline for targeted development and inclusion initiatives across the organization.

Supporting Women's Career Progression

Developing female talent remains a priority. We continued to invest in structured programs that support capability building, confidence and career advancement. The Empowering Her Program was structured around 3 modules covering workplace essentials, personal development and career development. Learning areas included business acumen, adapting to change, accountability, communication, stress management, initiative-taking, trust building, emotional intelligence, creativity and time management. The program strengthened skills, increased confidence and improved workplace effectiveness among participants.

Strong female representation in leadership pipelines

65%

Inclusive Policies and Support for Employees with Disabilities

We continue to emphasize inclusivity and equal opportunity for all employees, including individuals with disabilities. Our approach includes comprehensive medical coverage, appropriate workplace accommodations, accessible facilities and office infrastructure, and support mechanisms aligned with local labor regulations. These measures are designed to enable employees with disabilities to contribute effectively and participate fully in the workplace.

In line with national requirements, employees classified under the People with Disabilities category and officially recognized by the Ministry of Human Resources and Social Development receive an additional monthly allowance as part of their total compensation package. This reflects our commitment to fairness, accessibility and respect across the workforce.

Building Inclusive Capability across Functions

In addition to gender-focused initiatives, we supported inclusive professional development through specialized training programs. Global Internal Audit Corporate Training engaged 4 participants and focused on the transition to the new unified IPPF framework, governance and ethics standards, audit planning and execution, Board oversight and audit quality. These efforts strengthened alignment with organizational strategy and reinforced transparency, credibility and trust.

Through these initiatives, we continued to strengthen an inclusive environment where diversity of background, perspective and experience supports performance, innovation and long-term value creation.



Fostering community wellness and employee welfare

Our People continued

Nationalization

Building National Talent and a Resilient Workforce

Attracting, developing and retaining talent remains central to how we build long-term value. In 2025, we continued to strengthen our workforce through targeted recruitment, meaningful localization and competitive rewards, ensuring we have the right capabilities, leadership pipeline and organizational stability to support our strategy.

Strengthening the Talent Pipeline

We invested in building a sustainable talent pipeline through structured employer branding and early-career engagement initiatives. During the year, we hosted 2 student visits to Savola Foods plants and conducted 2 visits to leading universities, strengthening awareness of career opportunities across our operations. We formalized academic collaboration through a memorandum of understanding with the Technical and Vocational Training Corporation (TVTC), enrolling 6 trainees at Afia Industrial Company.

Our engagement with students extended to applied learning and competitions. We supported a business case competition at King Abdulaziz University, enrolling 25 students in the Bayara SIS challenge, and held an internship ceremony recognizing more than 118 interns across operations and an additional 13 interns at HQ. We also participated in 2 major career fairs, at King Abdulaziz University in the first quarter and King Fahd University of Petroleum and Minerals in the third quarter, to attract emerging talent. These efforts contributed to our recognition as a SHRM Middle East Gold Award winner for employer excellence.

Advancing Saudization and Internal Mobility

Saudization and internal mobility remained central to Savola's people agenda in 2025, reflecting sustained progress in workforce localization and national talent development. The Group continued to strengthen its Saudi talent base through targeted hiring, career progression and capability-building initiatives. Internal mobility played an important role in supporting continuity and employee growth, with a strong focus on developing national talent into leadership and specialist roles. These efforts were supported by high workforce stability, underscoring the effectiveness of Savola's approach to retention, engagement and long-term talent development across the organization.



Our People in 2026

In the year ahead, our People agenda will focus on strengthening leadership capability, accelerating talent development, deepening succession planning, advancing technical excellence and supporting employees' well-being across the organization. These priorities are designed to ensure the right skills, leadership depth and organizational readiness are in place to support execution and long-term performance.

Over the longer term, we aim to build a future-ready workforce that drives innovation, embraces change and supports sustained growth. By continuing to strengthen talent capabilities and foster an inclusive, high-performing culture, we seek to position Savola as a benchmark for people's excellence in the region while supporting the Group's strategic ambitions.



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Fostering community wellness and employee welfare

Community Impact and Investment

 Savola Group embeds community impact and investment as a core pillar of its ESG strategy.

The Group delivers this agenda through 2 main levers:

The Savola World Foundation (Savola World) as its dedicated social and environmental impact platform.

Operating companies-led initiatives tailored to the needs of local communities and stakeholders.

Together, these efforts advance environmental sustainability, human development, and the growth of small and medium enterprises (SME) across the Group's markets.



Savola World Foundation The Group's Social Impact Platform

Savola World Foundation is the primary vehicle through which Savola Group shapes and scales its social and environmental impact. Established in 2019 as a corporate initiative and later transitioned into an independent, non-profit entity under the supervision of the National Center for the Non-Profit Sector, the Foundation is funded by Savola Group and governed by a Board of Trustees. It collaborates with public, private, and third-sector partners to design and implement awareness campaigns and impact-driven social programs aligned with Saudi Vision 2030.

The Foundation aims to:

- Promote social and environmental responsibility among individuals and institutions.
- Encourage the private sector to adopt and institutionalize social responsibility.
- Build bridges between government, private, and non-profit sectors.
- Contribute to measuring and enhancing the developmental impact of social responsibility programs.

Through a portfolio of long-term initiatives, Savola World focuses on priority sustainability themes that deliver measurable social and environmental outcomes, in line with the UN Sustainable Development Goals and the Group's ESG priorities.



Savola World Foundation Programs and Strategic Focus

Savola World delivers its mandate through structured programs organized under 3 key pillars:



Environmental Sustainability

Negaderha Program | A national initiative focused on food waste reduction and responsible consumption. Negaderha combines public awareness campaigns, research and multi-stakeholder partnerships to promote sustainable behaviors and reduce food loss across the value chain.



Human Empowerment

Makeen Program | A program dedicated to empowering people with disabilities through education, skills development and employment opportunities, implemented in collaboration with specialized institutions and associations.
Ata'a Program | Savola Group's corporate volunteering and social engagement platform, which mobilizes employees to contribute their time, skills and expertise to community development initiatives.



SME Development

Yumnak Program | A business development and acceleration program that supports entrepreneurs and SMEs in sectors such as FMCG, F&B, agritech, food security and sustainability, retail, logistics, fintech and enabling technologies. Yumnak helps enterprises become investment-ready through mentorship, training and access to networks and financiers.
Savola World Entrepreneurs' Financing Portfolio Program | A dedicated financing portfolio, implemented in collaboration with the Social Development Bank and other partners, to provide SMEs with access to funding, advisory support and capacity-building opportunities.

Fostering community wellness and employee welfare

Community Impact and Investment continued

Savola World 2025 Progress and Achievements

In 2025, Savola World continued to advance Savola Group's sustainability and social impact agenda, reinforcing the Group's regional leadership in ESG practices. Key recognitions and milestones included:

- Securing second place for Best Sustainability and ESG Reports in the MENA region 2024 by the Middle East Investor Relations Association (MEIRA).
- Receiving the Corporate Social Responsibility Award 2025 – Golden Category from the Ministry of Human Resources and Social Development.
- Being honored by H.E. Eng. Ahmad bin Sulaiman AlRajhi, Minister of Human Resources and Social Development and Chairman of the Board of Directors of the Social Development Bank, in recognition of Savola World as a partner in the Bank's CSR portfolio.
- Successfully closing the Environmental Track Startup Empowerment Initiative, implemented in collaboration with Jameel Community Saudi and Start Smart Center, which culminated in 3 winning startups.
- Participating in the first Non-Profit Sector Forum organized by the Ministry of Environment, Water and Agriculture.
- Collaborating with the Entrepreneurs Association to produce the "Entrepreneurs Podcast."

These recognitions reflect the Group's disciplined approach to sustainability governance, transparency, and long-term value creation for stakeholders.

Furthermore, building on its strategic programs, Savola World delivered tangible impact across its 3 pillars.

Food Security and Waste Reduction

Under the Environmental Sustainability pillar, Savola World deepened its efforts in food security and waste reduction:

- A strategic partnership between Savola World and Ita'am (the Saudi Food Bank) during the Hajj season resulted in the rescue of 1,259,992 food units and 2,014 sacrificial offerings, with a total value exceeding ₪ 17.3 million.
- The Negaderha program expanded its national footprint through multiple awareness campaigns and targeted on-ground and digital activations, achieving a total campaign reach of more than 14 million.
- The launch of the "Negaderha Sawa" podcast further strengthened public engagement on responsible consumption and sustainable lifestyles.

Inclusive Community Development and Volunteering

Within the Human Empowerment pillar, the Foundation supported inclusive community initiatives and employee volunteering:

- The Mentor and Buddy Program was further developed into an integrated e-learning platform, enhancing knowledge sharing and volunteer engagement.
- Savola Group companies participated in the "Purple Saturday" initiative, in collaboration with the Authority for the Care of People with Disabilities, by offering tailored promotions and discounts to customers with disabilities.
- The Savola World website was upgraded in line with WCAG-W3C comprehensive accessibility standards, improving digital access for persons with disabilities.
- Savola World, in collaboration with Savola Group, celebrated the 2025 International Day of Persons with Disabilities, reinforcing its commitment to inclusion.
- Savola World participated in workshops of the United Nations Economic and Social Commission for Western Asia (ESCWA), contributing to regional dialogue on inclusion and sustainable development.
- Through the Ata'a corporate volunteering program, 274 volunteers contributed 683 volunteering hours, benefiting more than 16,800 community members.

These efforts complement the ongoing work of the Makeen Program, which continues to support people with disabilities through targeted empowerment initiatives and strategic partnerships.

Entrepreneurship and SME Empowerment

Under the SME Development pillar, Savola World strengthened its contribution to entrepreneurship and SME growth:

- The Yumnak Program second batch achieved additional funding of ₪ 25 million in 2025, bringing its total funding to ₪ 56.9 million and supporting 8 startups. The program continued to support entrepreneurs through tailored mentorship, business development services, and connections to investors and strategic partners.
- In parallel, 14 SMEs received financing through the Savola World Entrepreneurs' Financing Portfolio Program, delivered in collaboration with the Social Development Bank, enabling them to scale operations and contribute to economic diversification.

Collectively, these initiatives underscore Savola World's role in delivering integrated social, economic, and environmental impact in line with Savola Group's long-term sustainability strategy.

For a comprehensive overview of Savola World Foundation's programs and 2025 impact, please refer to the Foundation's annual report available [here](#).



Fostering community wellness and employee welfare

Community Impact and Investment continued

Savola Foods Company
Operating Group Contributions

Complementing the work of Savola World, Savola Group’s operating companies play a direct role in advancing community impact through initiatives tailored to local contexts.

At the operating company level, Savola Foods Company strengthened its community engagement agenda in 2025 through targeted social responsibility programs aligned with Savola World’s broader objectives. During Ramadan, the Company partnered with Namaa Society to deliver the Namaa Ramadan Baskets initiative, where female employees prepared and distributed food baskets to families in need, supporting food security while promoting women’s participation in social impact activities.

Savola Foods Company also supported charitable organizations, disability rehabilitation centers, and social care institutions across the Kingdom through donations of essential food products. In parallel, the Company invested in youth development and capability building via partnerships with academic and vocational institutions, including hands-on industrial training for senior students and participation in university-led engineering competitions that foster innovation and early-career skills development.

Food Quality and Safety

Savola Group prioritizes food quality and safety through rigorous standards and continuous improvement initiatives.

The Group’s approach includes:

- **Regulatory compliance:** Aligning operations with international food safety guidelines to enhance consumer trust.
- **Quality assurance:** Implementing strict inspection protocols to ensure compliance with food safety regulations.
- **Food safety standards:** Employing quality inspectors to safeguard production processes and maintain high safety standards.
- **Sustainable practices:** Developing healthier food alternatives in collaboration with scientific institutions.

Sustainability Practices

The Group drives sustainability focused food innovation through strategic initiatives and partnerships. Savola Foods Company Open Innovations program fosters collaboration with industry experts and academia to develop healthier, eco-friendly food alternatives. Notable achievements include advancements in fat replacers and cooking oils fortified with functional ingredients.

Regulatory Compliance, Quality Assurance and Food Safety Standards

Savola Group upholds strong food safety and quality standards aligned with international best practices, supported by robust certification, quality assurance and ongoing innovation. Savola Foods Company plays a central role in implementing these standards across its production network, ensuring consistent testing and oversight throughout the supply chain.

While the Group remains aligned with global food safety benchmarks, it continues to explore opportunities to broaden access to safe, affordable and healthier food options across its markets.



Nutrition and Health

The Group emphasizes sustainability and consumer well-being through initiatives addressing:

- **Balanced nutrition:** Savola Food Company produces essential food items like cooking oils, sugar, pasta and ghee, focusing on quality and nutritional value.
- **Industry trends:** Savola Professional explores food trends such as plant-based diets, gut health and low-impact snacking, reflecting commitment to evolving consumer health preferences.

Better Nutrition, Stronger Communities

At Savola Foods, we are committed to enhancing the nutritional value of our products to better support the health and well-being of our consumers.

We actively collaborate with academic institutions to support the next generation of talent. These collaborations not only shape future careers, but also inspire us to keep pushing boundaries, for healthier products and a stronger community.

Industry Trends

The Group actively tracks industry trends to align with evolving consumer health preferences. Its focus includes:

- **Plant-based diets:** The rise of flexitarian consumers has driven demand for plant-based alternatives, with Savola Professional exploring chia seeds, ancient grains and cocoa-based products.
- **Gut health:** Savola Professional recognizes the growing interest in probiotics, prebiotics and fermented foods, supporting digestive wellness through innovative formulations.

- **Low-impact snacking:** Consumers are increasingly aware of food production’s environmental impact, leading Savola Professional to explore locally sourced ingredients and sustainable packaging.

Savola Professional is adapting its strategies to align with global food industry benchmarks by focusing on sustainability, health-conscious consumption and technological innovation

Looking Ahead

In the coming years, the Savola World Foundation will continue to build on its early successes by extending its strategy under a renewed vision, launching sector-based programs aligned with its strategic direction, Saudi Arabia’s Vision 2030 priorities, and the UN SDGs. As part of the Group-wide commitment to sustainable and nutritious food solutions, Savola Foods Company will lead efforts to advance health-focused innovation, leveraging its strengths in food manufacturing and consumer insights to develop products with functional ingredients, implement robust traceability systems, and enhance consumer education to support healthier choices across our markets.

